MEMORANDUM

TO: Investment Committee / Quantitative Portfolio Review

FROM: Ayush Parida

SUBJECT: Quantitative Valuations in the Premier League Sports Assets

1. Executive Summary

Live market data analysis shows a large amount of herding behavior from retail investors. They are heavily biased toward recency so have overpaid assets which recently had high point increases. This means they are undervaluing assets with high expected output (xG, xA)

2. Quantitative fidnings:

Market Efficiency: A regression of asset price on expected output yields an R^2 of 0.817, proving that price correlates with volume but fails to price downside variance (σ).

Alpha Opportunity

Top decile assets with high sharpe ratios under £6.5m were identified. These assets give equivalent risk adjusted returns to high value assets over £10.0m

Portfolio Solvency

The MILP algorithm was able to find an optimal solution for the 15 man squad. It has a projected return of 5 Gameweeks more than the market basket whilst staying within budget constraints.